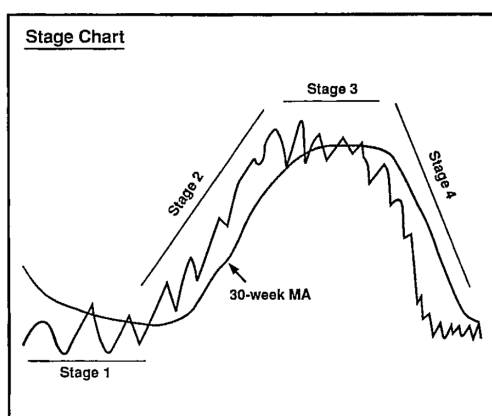


Stan Weinstein - Secrets for profiting in bull and bear markets [key points]

1. Stocks trading beneath their 30-week MAs should never be considered for purchase, especially if the MA is declining. Stocks trading above their 30-week MAs should never be considered for short selling, especially if the MA is rising. For a long-term investor, the ideal time to buy a stock is when it breaks out above resistance and also moves above its 30-week MA, which must no longer be declining. Stocks trading beneath their 30-week MAs should never be considered for purchase, especially if the MA is declining.
2. Stocks trading beneath their 30-week MAs should never be considered for purchase, especially if the MA is declining. Stocks trading above their 30-week MAs should never be considered for short selling, especially if the MA is rising. For a long-term investor, the ideal time to buy a stock is when it breaks out above resistance and also moves above its 30-week MA, which must no longer be declining.
3. Some definitions:
 - a. Trader: My definition of a trader is someone who wants to catch each significant two to four-month move. This is what I consider intelligent trading.
 - b. Investor: Up to 12 months
 - c. Short term: from one to six weeks
 - d. Intermediate-term: from six weeks to approximately four months
 - e. Long-term: from 4 to 12 months. The major trends are long-term and always the most important patterns to be aware of. If you are in harmony with a long-term trend, it will often bail you out of a short-term timing error.
 - f. Relative Strength: The formula for measuring relative strength is simply the price of a stock (or group average) divided by the price of a market average.
4. Always take into account the relative strength line. Poor relative strength shows that it is still an inferior performer compared to the overall stock market. If the RS line is in an uptrend, don't consider selling the stock short even if it breaks down on the price chart.
5. The four stages of a major cycle are: (1) The basing area, (2) the advancing stage, (3) the top area, and (4) the declining stage.

CHART 2-1



a. Stage 1: The basing area.

After stock XYZ has been declining for several months, it eventually will lose downside momentum and start to trend sideways. What's actually taking place is that buyers and sellers are starting to move into equilibrium, whereas previously the sellers were far stronger, which is why the stock had plummeted. **The volume will usually lessen—dry up—as a base forms.** But often **volume will start to expand late in Stage 1, even though prices remain little changed.** This is an indication that the dumping of the stock by disgruntled owners is no longer driving down the price. The buyers who are moving in to take the stock off their hands are not demanding any significant price concession. This is a favorable indication.

Here's how it appears on the chart. **Initially, the 30-week MA loses its downside slope and starts to flatten out.** In addition, intermittent rallies and declines will toss the stock above and below the MA. During this stage, there will usually be several swings between support at the bottom of the trading range and resistance at the top of the range. This basing action can go on for months or, in some cases, years.

This is the point where many market players get itchy to move in and catch the bottom price. But it doesn't do much good to buy yet. Even if you catch the exact low, your money could be tied up for a long time with little movement, and time is money. Even worse, premature investors often get impatient and end up selling after months of frustrating sideways action right before the big move starts.

b. Stage 2: Advancing Phase.

The ideal time to buy is when a stock is finally swinging out of its base into this more dynamic stage. Such a breakout above the top of the resistance zone and the 30-week MA should occur on impressive volume. This is the start of the advancing Stage 2 uptrend phase. However, before the really dynamic part of the advance gets rolling, be aware that there is usually an initial rally followed by at least one pullback. That dip brings the stock back close to the breakout point, which is a good second chance to do low-risk buying. Don't become a fanatic about saving a few cents per share!

The less it pulls back, the more strength it actually is showing.

In Stage 2, the 30-week MA usually starts turning up shortly after the breakout. The situation becomes a buyer's dream as each successive rally peak is higher than the last. In addition, the lows on corrections are also progressively higher. This is important! Don't expect the stock to be a one-way street no matter how bullish and powerful the pattern is.

The stock market will do whatever is necessary to keep the majority from making money while amply rewarding the astute professional minority.

So expect two steps forward and one sharp step back. As long as all of these wild swings and shakeouts take place above the stock's rising 30-week MA, don't worry—everything is proceeding according to Hoyle and is on schedule for a big profit!

After several months of bullish bliss as the fundamentals start to improve and more and more investors belatedly jump on the bullish bandwagon, the stock will eventually start to sag closer and closer to its MA. The angle of ascent of the

MA will slow down considerably. At this point, the stock is a "hold." Although it is still in Stage 2, this stock is now trading far above its support level and MA and is being discovered by the investment community; it is overextended and most definitely no longer a buy. This is the point where buying puts you at considerable risk.

From an investing point of view, the right time to buy the stock was either on the initial breakout or on the later pullback toward the breakout level. At that time, when the stock was still close to its base, the downside risk was quite low and the upside potential considerable. The reward/risk ratio was totally in your favor. Now, however, that obviously is not the case. In addition, the later we get into Stage 2, the more erratic the price swings become as early buyers panic on selloffs because they don't want to lose their excellent profits. The Johnny-come-latelies buy-in on each selloff as they want to get a bargain in their newly discovered hot stock. At this point, the stock is the subject of rumors and glowing press reports. It's also the point where emotions are having a big impact on the decisions of both buyers and sellers. Be consistent. Either buy it right or don't buy it at all. Obviously, a little common sense is needed. If you miss it at 12 buying at 12 is no big deal, but paying 25 or 26 sure is! If you've missed a good stock, don't fret about it. With thousands of listed and over-the-counter stocks to pick from, there will always be good stocks at great prices.

c. Stage 3: The Top Area

Eventually, all good things come to an end. In the stock market, this takes the form of a Stage 3 top as **the upward advance loses momentum and starts to trend sideways. What's going on beneath the surface is that buyers and sellers are once again about equal in strength.** In Stage 2, the buyers were far stronger and overwhelmed the sellers. Now that the advance is ending, the stock is in equilibrium and the mirror image of a Stage 1 base starts to take shape.

Volume is usually heavy in Stage 3 and the moves are sharp and choppy. If you've ever heard the expression that a stock is "churning" (moving sideways on heavy volume), this stage is an outstanding example of it. The heavy volume on the part of buyers, who are excited by the improving fundamentals or "story," is met in equal measure by aggressive selling by the people who bought at considerably lower prices and are heading for the exits.

Here is how all of this takes shape on the chart. **First, the 30-week MA loses its upward slope and starts to flatten out. Whereas Stage 2 price declines are always held at or above the MA, the stock will now tiptoe below and above the MA on declines and rallies. Once a Stage 3 top starts to form, traders should get the heck out with their profits! Investors, however, have more leeway. Once this stage is reached, I suggest that investors take profits on only half of their position.** There is always the chance that the stock will break out on the upside again, beginning yet another Stage 2 upleg. **If you still hold half of your original position, you'll then be able to benefit from the upward movement of this new Stage 2. But it's imperative that you protect your profits on the remaining half position with a protective sell stop set right beneath the bottom of the new support level**

So remember—no matter how powerful the fundamentals, no matter how

convincing the story, you are never going to buy a stock at this stage because the reward/risk ratio is strongly stacked against you.

d. Stage 4: The Declining Phase

This is a period when the factors that maintained a stock's price during the topping phase give way to the fatigue and pressures of fearful sellers. It shows up on the chart in the following manner: **After moving back and forth in a neutral trading range, a stock eventually breaks below the bottom of its support zone.**

Unlike an upside breakout, which needs a significant increase in volume to be considered trustworthy, **a downside break into Stage 4 doesn't necessarily need such a huge increase in volume to be considered valid.** A volume increase on a breakdown followed by a volume decrease on a pullback to the breakdown point does signal a very dangerous situation, yet I've seen many cases where a stock moved into Stage 4 on relatively light volume and dropped substantially in the months ahead. Therefore, while a volume increase on the breakdown is even more bearish, don't ever let yourself get lulled into a false sense of security because the volume isn't heavy! One way or another, you should get out of the stock. At this moment, stop and reflect for a second and then make a pledge to yourself. Take the oath that you are never going to buy another stock in Stage 4. Also, promise yourself that you will never hold onto any of your stocks once they move into Stage 4.

In Stage 4, each decline drops to a new low while each reflexive oversold rally falls short of the prior peak. This is a textbook example of a downtrend. What's worse, all of this negative action takes place below the declining MA. Unfortunately, this is the stage where unsophisticated they think the stock has already fallen enough. But picking up fallen stars is a sure way to burn yourself!

6. The ideal time to buy

a. The investor's way

There are two great times for an investor to do new buying and both center around the breakout point. The first is when a stock initially moves out of its Stage 1 base and enters Stage 2. The second and safer time is when a stock pulls back toward the breakout point after the initial Stage 1 buying frenzy burns out. The advantage of purchasing on a pullback is that you can play movie reviews and judge what you've seen. Did volume pick up impressively? Did the stock move far above the breakout point? Did volume then contract on the pullback? Or did XYZ just nudge above the critical resistance level and then fall back below it, which always signals a red flag warning? Once you've watched the action, you know whether you're dealing with a potential A+ or C —.

Should you wait and only buy on a pullback? No! If you wait to do only such low-risk buying, you are going to miss out on some of the biggest winners. Those few stocks that never pull back are demonstrating the strongest rocket propulsion. These are going to be giant winners, so we most definitely do not want to be left on the launching pad. If you're a long-term investor, compromise and buy half of your intended position on the initial breakout, and the other half if the stock pulls back close to the breakout price and you like the post-breakout action

b. The trader's way

There is one other very profitable time to do new buying. It occurs after a

Stage 2 advance is well underway when the stock drops back close to its MA and consolidates. It then breaks out above the top of its resistance zone. This is called a continuation buy. Again there is a tradeoff involved. In this case, the probabilities are overwhelmingly high that the advance will be rapid, but there is a greater risk factor. This type of buy is more suited to traders than investors. But investors, too, should be willing to do some late Stage 2 buying when the overall market is very strong and there aren't many initial breakout opportunities left. If the MA starts to roll over and flatten out, you don't want that stock. Even if it breaks out in a continuation move, it is not likely to have that tiger in its tank that we want.

So the proper tactic when dealing with this type of breakout is to buy your entire position when it overcomes its significant resistance.

While there are no official rules, I would say as a rule of thumb **investors over the years should do about 75 to 80 percent early Stage 2 buying with the remainder coming from continuation moves.** Traders, on the other hand, should reverse the figures and do about 80 percent of their buying on breakouts that are already in Stage 2 and have consolidated near the MA before breaking out once again. The rest of a trader's buying should be of the early Stage 2 variety.

7. What to buy

- a. It is really a three-part equation that I call my "Forest to the Trees" approach. What I mean is that you should work from the large question—how's the overall market—down to the smaller component—which stock looks best to buy. In between those two extremes is the middle part of the equation—which group is acting best technically. So the process unfolds in the following manner:
 - i. What's the trend of the market? If it's negative, you'll want to do very little if any buying, even if you see some stocks breaking out. Your probabilities of success are quite low when the market trend is going against you.
 - ii. Which few groups look the very best technically? The importance of this question cannot be overemphasized since my studies have consistently shown that two equally bullish charts will perform far differently if one is from a bullish sector while the other breakout is in a bearish group. The favorable chart in the bullish group will often quickly advance 50 to 75 percent while the equally bullish chart in a bearish group may struggle to a 5 to 10 percent gain.
 - iii. Once you determine that the market trend is bullish and Group A acts the very best technically, the final step in the process is to zero in on the one or two best individual chart patterns in that sector.

8. How to implement the strategy

The starting point is the market itself. To determine if the market is technically strong or weak, you can't just tune into the six o'clock news and hear if the Dow was up 30 points or down 40. First, the day-to-day action often disguises the market's real trend. You'll often end up mistaking a short-term move for the major trend. Second, even if you luck out and identify the trend of the Dow Jones Industrial Average, the subsurface condition of the market is often moving in an opposite direction.

After reviewing the market indicators and confirming that the overall market trend is bullish, it's time to move on to the next step. Zero in on the one or two groups that contain the most exciting

upside potential with minimum downside risk over the next several months. This exercise isn't just important—it's crucial. After years of observing and studying market cycles, there is absolutely no doubt in my mind that sector analysis is just as important as overall market timing. In fact, in certain markets it is even more important

The place to start this next level of learning is the charts themselves. To do this, we are going to scan the Standard & Poor's weekly industry charts. This important input is also covered in the Mansfield chart service. The only difference when studying an industry rather than a stock chart is that the group graph doesn't have volume plotted on it. Other than that, everything else is exactly the same

First, check what stage the group is in. One other reality this makes very clear is that you can easily lose money if you're in the wrong groups

When dealing with groups, use the same criteria that you do with stocks. **Investors should concentrate their buying in those market areas breaking out of Stage 1 base patterns, while traders should lean toward continuation moves in already existing Stage 2 uptrends.** There is one difference, though. If the group is already in a well-established Stage 2 uptrend and is far above support, an investor wouldn't normally be in a big hurry to buy that pattern if it was a stock. But if the group is already well into Stage 2 and you find a stock from that sector first breaking out of its Stage 1 base, then it's fine for an investor to buy that particular stock. In the same manner, if a trader saw a continuation-pattern buy that looked good in a group that had just moved into Stage 2, the trader can definitely buy that stock. **The most important factor when dealing with groups is that the sector is healthy.**

A second group signal is available by scanning the charts themselves. When you go through your chart book, if you see several stocks from one group that are suddenly turning bullish (or bearish), that's a clear-cut signal. **Make a list of the very best chart patterns with the sector designation. If you have six groups that have bullish Standard & Poor's charts, but most of your potential big winners are from one or two industry groups, that, too, is telling you something important. While all six groups will very likely advance, the one with the several excellent chart patterns will turn out to be the A+ of the batch.**

This approach also helps keep you on the track in another way. At times, the Standard & Poor's industry charts are distorted by one stock in a given group undergoing a powerful advance or decline.

By using this cross check method, you won't be thrown off because one stock is a takeover candidate or is in a special situation that is suffering.

9. The less resistance the better

There's a concept in economics called opportunity costs which applies perfectly here. Taking away all of the fancy ivory-tower jargon, it means that we all have limited resources, whether it be \$25,000 or \$25 million. So we must maximize our resources—which, in this case, is your market stake. If we buy stock XYZ and it advances 20 percent, but stock ABC in the same time period gains 200 percent, we have actually lost profit-making potential.

Therefore, what we want to do is to uncover the A+ stocks and play those while leaving the Bs and Cs alone for others.

While resistance is still in existence even from several years ago, my studies have shown that **the older the resistance, the less potent it is.** This makes sense since resistance is created by sellers who bought at higher prices and want to get out close to their purchase price after the stock

declines. As time passes, more and more investors take their losses at the end of each trading year. So if it doesn't show up on the chart, it's no big deal.

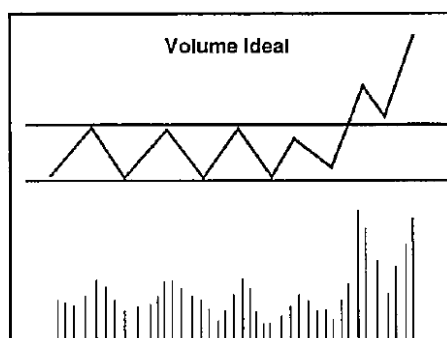
There is one last step to this exercise—check the long-range perspective on the Mansfield chart. **This is a high-low bar chart of each of the past 10 years. If there is no resistance (it hasn't traded above this price in the past 10 years) on this chart, then you should really get excited because you are looking at an A + situation.**

10. The importance of volume

The next important factor to concentrate on is volume. Once you learn to spot this telltale clue, you'll be well on the way to separating the so-so buys from the explosive big winners. Even if we never were to discover the reason why volume is so important, a quick perusal of any chart book would convince you that volume confirmation on a breakout is crucial. There is, however, a very good reason why volume signals really work. Volume is a gauge of how powerful the buyers are. As I said earlier, stocks can fall of their own weight, but to advance it takes plenty of buying power.

The rule is very simple. **Never trust a breakout that isn't accompanied by a significant increase in volume**

When the stock is in the base area, the volume pattern will be erratic. My studies have led me to a different conclusion than many technicians. So to keep things simple yet profitable, I wouldn't worry what shape the volume pattern takes while it is forming a Stage 1 base. However, once XYZ breaks out above the top of its resistance area and moves above its 30-week MA, I want you to worry plenty about volume. It should pick up significantly on the breakout. If it doesn't, the probabilities are very high, that at best, you've got a mediocre winner on your hands that will advance only a few points. At worst, the stock will turn out to be a false breakout that will soon be back in the trading range.



I look for the following: either a **one-week volume spike that is at least twice the average volume of the past month (preferably it is even higher)**, or a **volume build-up over the past three to four weeks that is at least twice the average volume of the past several weeks coupled with at least some increase on the breakout week 5**

Finally, **volume most definitely must confirm the breakout. Look at how many checklists we have and how you can separate the good from the bad and the ugly.**

11. It's all relative

The next important factor to check out when narrowing down our list of potential buys is the relative strength (RS). This is a measure of how a stock is acting in relation to the overall market. Even if a stock is rising, it can show poor relative strength. Likewise, a declining issue can demonstrate positive relative strength. Think about it. If XYZ rises by 10 percent while the Standard and Poor's composite advances by 20 percent, XYZ is lagging badly even though it is moving higher. Not only isn't it a leader, but it obviously is being pulled reluctantly higher. Therefore, the probabilities are very high that when the overall market turns down XYZ will get bombed. Conversely, if it drops by 10 percent while the market averages plummet by 20 percent then it is putting on a good show of relative strength. And once the market turns higher, this stock will likely lead the hit parade.

Mansfield's relative strength also has a zero line on it. Above zero is a long-term positive, while below zero is a long-term negative. While it happens rarely, it's an important long-term plus if all of the positives on our checklist (group confirmation, minimum resistance, heavy volume, and so on) are met and, at the same time, the RS line moves from negative to positive territory

12. Quick reference guide on buying

Before going further, here's a handy checklist that will do two things for you. First, it will act as a quick review of the very important steps we've covered in the buying section. Second, it will serve as a future reference guide to the proper sequence to use when looking for new buy candidates.

- Check the major trend of the overall market.
- Uncover the few groups that look best technically.
- Make a list of those stocks in the favorable groups that have bullish patterns but are now in trading ranges. Write down the price that each would need to break out.
- Narrow down the list. Discard those that have overhead resistance nearby.
- Narrow the list further by checking relative strength.
- Put in your buy-stop orders for half of your position for those few stocks that meet our buying criteria. Use buy-stop orders on a good-'til-canceled (GTC) basis.
- If volume is favorable on the breakout and contracts on the decline, buy your other half position on a pullback toward the initial breakout.
- If the volume pattern is negative (not high enough on break out), sell the stock on the first rally. If it fails to rally and falls back below the breakout point, **immediately** dump it.

13. Further tips for buying

There are a few formations you should be familiar with; these are both easy to spot and very profitable. These are the double bottom and the head and shoulder bottom formations.

Whatever shape the bottom takes, do not anticipate. Don't buy prematurely.

In some cases the breakout never occurs and the stock plummets to a new low. At other times, the breakout may come many months later, and by then you'll have become frustrated and sold the stock.

14. Bigger is better

There's an old saying among technicians—"the bigger the base, the bigger the move" (the corollary being, "the bigger the top, the bigger the drop"). I heartily subscribe to that statement. While there are plenty of cases where short-term bases, when mixed with all the other winning ingredients, produce excellent results, always be on the lookout for a breakout from a very large base formation. This is especially important since these formations usually lead to very extensive and long-running advances.

15. Stan's don't commandments

Now that you are familiar with when and what to buy, here's a checklist of when and what not to buy. Although the list is short, it is very deep in wisdom. If you thoroughly learn it and make sure to never violate any of these rules in the future, you are going to find your experiences in the market much more fun and profitable.

- Don't buy when the overall market trend is bearish.

- Don't buy a stock in a negative group.
- Don't buy a stock below its 30-week MA.
- Don't buy a stock that has a declining 30-week MA (even if the stock is above the MA).
- No matter how bullish a stock is, don't buy it too late in an advance, when it is far above the ideal entry point.
- Don't buy a stock that has poor volume characteristics on the breakout. If you bought it because you had a buy-stop order in, sell it quickly.
- Don't buy a stock showing poor relative strength.
- Don't buy a stock that has heavy nearby overhead resistance.
- Don't guess the bottom. What looks like a bargain can turn out to be a very expensive Stage 4 disaster. Instead, buy on breakouts above resistance.

16. Don't put all your eggs in one basket

Now that you know what to buy and what not to buy, there is one last topic to cover: diversification. No matter how expert you become with my system, don't ever expect to achieve perfection.

Many who attend my seminars ask, "What is the right number of stocks to hold in my portfolio? Is it 8, 10, or 12?" The answer? There is no single magic number! But there is an approximate area which makes sense to me. I know that one or two stocks is far too dangerous an allocation of capital. I also believe that 40 to 50 stocks are far too many issues to keep track of.

The proper way to look at your stocks is to make believe that each position is the only one you have. If it's acting fine, great, ride with it. But if it's lagging badly and acting poorly, lighten up on that position even if the sell-stop isn't hit. Move the proceeds into a new Stage 2 stock with greater promise. To be more specific, **for a small portfolio that's investing a modest amount (\$10,000 to \$25,000), I'd diversify into no more than five or six stocks.** But as you move up the ladder into six-digit or higher portfolios, **10 to 20 stocks are the most that I'd invest in at any one time.** Also, use approximately equal dollar amounts when constructing your portfolio.

Don't do as so many investors do who think in terms of the number of shares they can purchase. They buy 1,000 shares of everything, whether it's a \$5 or \$40 stock. To use a nice round number, if we were investing \$100,000 in 10 stocks, each position should be approximately \$10,000 in value. So if you are buying a \$50 stock, you will purchase only 200 shares. If a second position is a \$10 stock, you'll enter a buy order for 1,000 shares. Common sense should be applied when constructing your portfolio. Don't put all your eggs in one basket. But don't go to the other extreme of using too many baskets!

There is one other form of diversification to be aware of and practice. Don't do all of your buying from just one group. If three or four sectors exhibit great technical action, buy Stage 2 breakouts

from all of them rather than from only group A. If one group suddenly reverses, your portfolio will still do well. If you practice these two forms of diversification and properly utilize my system, you should do very well in the market year in and year out!

17. Uncovering exceptional winners

As long as you keep this longshot syndrome in control and do no more than put a few coins in a slot machine, or buy an occasional lottery ticket, this all-too-human trait is no big deal. But if it drives you to continually buy rumor stocks, then it's a very serious problem. It will cost you dearly,

because for every one rumor that turns out to be true, hundreds end in Stage 4 downtrends. Those aren't winning odds.

First, only play this game with a small percentage of your capital. The great majority of your Buys should come from your studies. Second, if you hear a rumor, judge the source. If it's your stockbroker, and a few of his prior recommendations have actually worked out, that's a better source than if your broker has never had a bullseye in his life. Get out your charts and study the stock carefully.

If the stock is in Stage 4 and the relative strength is a horror show, walk away from that slot machine right then and there. I'd rather miss out on a potential profit any day than buy a stock with a poor reward/risk ratio. All you've lost when you miss a winner is a potential profit. Like buses, another one will come along. But what you've lost when you get broadsided by a losing situation is a portion of your very precious capital. So **discipline** and **selectivity** are operative words to always keep in mind. Remember, we can make really big money in the market even if we pass up 100 winners and buy only 10 stocks during the year, with 7 or 8 turning out to be winners.

So follow these rules and you'll be amazed how often you end up buying what the insiders buy, without knowing the information that they are privy to.

18. The triple confirmation Pattern

Be aware that while this formation produces some unbelievable winners, it is not for short-term trading. Rather it is a method whereby aggressive investors can uncover potential big winners to ride for a major advance.

In addition to the basic requirements of the stock **being above the MA**, the following three events must take place. First, **there must be a volume signal**. This is vital! The market champs almost always have substantially larger volume on the breakout than during any point in the Stage 1 base area. For this type of big winner we want to see **volume of even more than twice the average trading of the past four weeks**. In addition, the heavy volume should not be short lived.

The initial volume surge should be followed by several more weeks of heavy trading. This signal indicates a sudden tremendous interest in the stock, as well as additional future demand. Since the stock is starting to run away on the upside, buyers will be fast to add to positions on any corrections. When the dips are too shallow to accommodate their buying, these buyers will often get into a buying panic.

Once again, very impressive volume is the key ingredient to a super winner, but it's not the only one. The second factor to focus on is relative strength. This is a very important tool to use in distinguishing goods from great buys. For this triple-threat pattern, the RS line must be in a certain position.

It should either be in negative territory or hugging the zero line in a neutral manner. Then, as the Stage 2 breakout occurs, the RS line should move decisively into positive territory. This is very important! I've shown that you can buy stocks which have an RS line in negative territory as long as it is improving and all of the other technical factors are positive. But when looking for this very special big-winner pattern, there can be no compromises. If relative strength remains in negative territory, it doesn't fulfill this special criteria, even though the stock can still be a good buy and can chalk up a fine gain.

The third clue to look for is **a big move before the stock breaks out**. I know it sounds strange since we all want to buy as cheaply as possible; but this is an important element of this aggressive big-payoff pattern. **If a stock has wide swings while still in its Stage 1 base pattern, then it's far**

more likely to be a ball of fire once it breaks out. As a rule of thumb, stocks that have risen some 40 to 50 percent or more before breaking out do the best in the months ahead. **But this does add some near-term risk to the breakout, which is why I stressed earlier that this kind of buying is strictly for investors rather than traders.**

19. When to sell

a. Don'ts for selling

- i. Don't base your selling decision on tax considerations
- ii. Don't base your selling decision on how much the stock is yielding. Far too often, investors decide to hold onto a stock that is weakening because it pays a great dividend. This is silly because after the stock drops a few points the selloff wipes out the whole year's worth of dividends plus more.
- iii. Don't hold onto a stock because the price/earnings (P/E) ratio is low. This ratio often appears to be at a bargain level even though your stock is topping out. The stock often declines and only months later reports disappointing earnings. By this time the P/E ratio no longer appears low at all, but at that point it is too late to sell profitably. In addition, there are many cases where the P/E ratio is low—and stays low—and the stock gets bashed anyway.
- iv. Don't sell a stock simply because the P/E is too high
- v. Don't average down in a negative situation. These are stocks that had moved into Stage 4 and should have been sold. Unfortunately, many investors fell into the fundamentals trap. First they held on because it was a good company— or so they thought. When they realized they were in trouble, they were determined to get out even on the next rally. This is market masochism at its worst. In so many Stage 4 bombings, the stock never gives you the opportunity to come close to getting out even. Then panic takes over and these ill-starred investors shoot themselves in the foot by averaging down.² This technique is great in theory, but suicidal in practice. Those who practice this dangerous technique are courting financial disaster.

Don't ever fall into the seductive trap of thinking that by buying more at a lower price, the stock will only have to rally half as much before you even get out. Do as professionals do—average up, not down. When market action starts to show them they are right, the pros pile on further—not when they've been proven wrong. Instead of sitting on a problem stock, they get out promptly. Learning how to handle a losing situation and keeping losses to a minimum is one of the most important secrets of successful investing

- vi. Don't refuse to sell because the overall market trend is bullish. While it's true that a powerful bull market will often bail you out of some of your less brilliant judgments, don't think it's a panacea for every market problem. Sure, the major uptrend will usually add points to your Stage 2 winners. It's also true that a raging bull market will often limit the downside on problem stocks. This is why there is an old Wall Street saying: "Don't confuse brains with a bull market." Nevertheless, if a stock really starts to flash technical danger, don't think twice—get out. Just the fact that a stock is showing

weakness in the face of a soaring market is a warning that disaster is getting ready to strike.

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- viii. Don't hold onto a stock simply because it is of high quality.

20. Selling properly

The investor's way

While the theory is similar for both investors and traders, there are different guidelines and parameters for each.

The first thing any good trader or investor should do is realize that they must never hold any position without a protective sell stop. A sell-stop order will be executed only if a predetermined level is hit. The protective sell-stop is an incredibly helpful and profitable technique when properly used.

The first thing to know is that you must be flexible when you place your initial sell-stop. Sometimes it will be 8 percent below your purchase price, other times 12 percent or more. The percentage will not be the determining factor. Instead, the prior support level and 30-week MA will be your two keys to focus on.

When you set your initial stop, pay less attention to the MA and more to the prior correction low. If the sell-stop should be placed right above a round number, or on it, set it instead just under the round number. Also, never enter your order to buy until after you've calculated exactly where your protective stop should be placed. By getting into this habit, you will have an additional filter working for you when you narrow down your list of buy candidates.

As long as the stock is above its rising 30-week MA, and the MA is rising in Stage 2 fashion, be sure to give it plenty of room to gyrate. We are going to trail the sell-stop behind the advancing price in the following manner. After the first substantial correction of at least 8 to 10 percent, you are now going to get set to raise the stop. If a break below that correction low would also violate the 30-week MA, that is a valid point to which an investor should raise the sell-stop. If, as in this example, the correction low is above the rising 30-week MA, place the sell-stop below the MA. Continue moving the sell-stop up as the MA advances.

The trader's way

The first trading technique to perfect centers on the trailing sell-stop. Traders must be much more aggressive than investors in their use of this tool. Investors ideally want to stay with a position as long as the stock is in Stage 2. They accept the reality that there will be some pretty stiff setbacks along the way. In addition, months may go by when the stock moves sideways and consolidates before moving higher. Traders, on the other hand, realize that time is money. They not only want to

sidestep all significant declines, they even want out if the stock is entering a neutral zone for several months. This makes sense because they can shift into a new stock that is ready to move into the exciting part of its cycle while the old situation simply zigs and zags. Therefore, a trader shouldn't wait for the 30-week MA to be violated on a selloff before selling. (In fact, if he can time the sale nicely when XYZ is well above the MA, the trader will often repurchase on dips back close to the MA.)

21. Learning how to win by learning how to lose

No matter how good my system is, you will not win 100% of the time. That's a promise. How you deal with this fact of life will go a long way toward determining how big a winner you become. In fact, after all my years in the market, there is absolutely no doubt in my mind that one of the real keys to winning is learning how to lose.

They concern themselves with two far more important factors: (1) the net result of all their positions (as long as it is strongly positive they are happy), and (2) where they will call it quits if a given stock moves against them.

This is the mature, rational—though rarely practiced—way to approach the market. Emotions are destructive if you don't deal with them properly. I've seen market players do reasonably well, especially in a bull market, only to have a single bad position undermine their entire strategy. Instead of realizing that the first small loss is the best loss, they get angry and stubborn as their stock plummets. When it's fallen to a level that appears cheap, they average down, throwing good money at a bad Stage 4 position. Even worse, as losses start to mount, the next destructive step is to start taking profits in those stocks that are still winners. In the short run this makes the investor feel better as he makes several entries in the plus column. But in the following months the portfolio will reflect the effects of this short-term fix. Very simply, this ill-conceived strategy loads up your portfolio with Stage 4 losers while you discard Stage 2 winners.

22. Some tips from Stan:

1. Check the market indicators for overall direction.
2. Scan the groups so you'll know which ones to zero in on.
3. Cull out those few stocks with the most potentially profitable formation within those favorable groups.

Once you've taken these steps, here are some rules to follow:

- If you're an investor, do most of your buying early in Stage 2, when major bases are being completed.
- If you're a trader, concentrate the majority of your buying in continuation-type buy patterns that are already in Stage 2.
- Before entering your buy order, make sure you know where your protective sell-stop will be set. If it's too far away from the purchase price, look for a new buy or wait to purchase the stock when a safer stop level forms. The converse is true when selling short.
- Never sell a stock that's in Stages 1 or 2 (especially Stage 2).
- Never buy a stock that's in Stage 3 or 4 (especially Stage 4).
- Never hold a long or short without a protective stop.
- Don't be afraid to sell short when the overall trend is bearish. Just be sure to protect the position with a buy-stop.
- Be aware that stage analysis can be applied to any and all investments that are governed by supply and demand, which includes stocks, mutual funds, options, futures, and commodities.

- Never guess the bottom. Learn the important lesson that it's better to be late and buy in Stage 2, than to grab a stock that looks cheap but will be 40 to 50 percent cheaper later in Stage 4.
- Don't feel you have to be 100 percent invested at all times. Differentiate between a September 1982 situation, when the indicators and charts strongly suggested a fully invested position, versus a September 1987 position when extreme caution was demanded.
- Buy Stage 2 strength; sell Stage 4 weakness. In other words, always be in harmony with the tape.
- Whenever there's a conflict between the price volume action and the earnings, always go with the objective message being supplied by the technical approach. While I cannot guarantee that you'll make millions in the market, I can assure you that:
- No single commitment will ever wipe you out.
- You'll never have your capital locked into disastrous positions that prohibit you from reversing and getting aboard a profitable new trend.
- You'll always make decisions in a rational manner, which will lead to peace of mind and definitely improve your batting average.
- You'll always be able to objectively judge where and when a given stock should be bought and sold.

A tactic that I used when I first started playing the market was to keep a diary. I strongly suggest you do likewise. In this diary enter only your losing trades. Winners always take care of themselves. While it's nice to have both your pocketbook and ego enhanced, winning teaches you nothing. Losing can be the greatest teacher of all, if properly analyzed. In the final analysis, losing can actually lead to far more winning trades. Write down the date that you bought your losing position and your reason for buying, and be honest with yourself as to why it didn't turn out. If it was merely a whipsaw, say so. But if upon later examination you realize that either the volume was inadequate, or the relative strength was lacking, or the group was negative, or you were influenced by a rumor, write down that error. After several months look for a common denominator in your losses. We all have psychological patterns. When you see what your particular destructive pattern is, it will be easy for you to retrain yourself and deal with it so your investing will become even more profitable.

While it's easier to diversify when you have significant market capital, even a few thousand dollars will allow you to do very well in the market if you combine it with that rare commodity, common sense. If you have a very small starting nest egg, use no-load mutual funds. They will give you diversification and have no commission costs. As your market stake begins to grow, branch out and invest in individual stocks. In closing, I once again want to use a contrary opinion. Don't think of this as an end, but as a new beginning.